

Consolidated and Separate Statements of Comprehensive Income

	Notes	Jan – Dec 2025	Jan – Dec 2024	Jan – Dec 2025	Jan – Dec 2024
		Group	Group	Company	Company
		EUR` 000	EUR` 000	EUR` 000	EUR` 000
Commission and fee income	3	5 610	4 475	4 877	4 359
Commission expense	4	(569)	(129)	(2)	-
Net commission income		5 041	4 346	4 875	4 359
Interest income calculated using the effective interest rate	6	2 823	471	41	70
Interest expense	7	(1 701)	(773)	(302)	(303)
Net interest income		1 122	(302)	(261)	(233)
Dividend income		-	-	784	-
Net foreign exchange losses		(1)	-	-	-
Profit / (loss) on financial assets and liabilities not measured at fair value through profit or loss		19	-	-	-
Other operating income		427	150	1	-
Gain on bargain purchase	18	117	-	-	-
Other operating expenses	8	(251)	(104)	(176)	(65)
Administrative expenses	5	(11 120)	(8 694)	(3 021)	(3 128)
Depreciation and amortization	19,20,21	(1 935)	(680)	(55)	(51)
Allowances for expected credit losses		(1 146)	(89)	2	(2)
Profit / (Loss) before corporate income tax		(7 727)	(5 373)	2 149	880
Corporate income tax	9	(8)	(9)	(4)	(7)
Profit / (Loss) for the period, attributable to the owners of the shareholders		(7 735)	(5 382)	2 145	873
Profit / (Loss) for the period, attributable to the owners of the shareholders		(7 735)	(5 382)	2 145	873
Basic earnings per share	36	(1.39)	(1.18)	0.39	0.19
Diluted earnings per share	36	(1.39)	(1.18)	0.39	0.19

The notes on pages 24 to 120 form an integral part of these financial statements.

The financial statements have been authorised for issue on 25 February 2026 and signed on behalf of the Company's Management Board by:

Henrik Karmo, Chairman of the Management Board

Marija Cernoštana, Member of the Management Board

Artūrs Roze, Member of the Management Board

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Consolidated and Separate Statements of Financial Position

	Notes	31.12.2025 Group EUR'000	31.12.2024 Group EUR'000	31.12.2025 Company EUR'000	31.12.2024 Company EUR'000
ASSETS					
Cash and balances with the central bank	10	20 291	35 374	-	-
<i>Cash on hand</i>		557	-	-	-
<i>Current account balances with The Bank of Latvia</i>		19 734	35 374	-	-
Current account balances with credit institutions	11	3 807	397	17	17
Financial assets measured at amortised cost		223 971	1 937	1 982	1 525
<i>Loans and receivables from non-banks</i>	12	216 115	987	-	-
<i>Term deposits with credit institutions</i>	11	1 892	876	1 916	1 451
<i>Debt securities</i>	13	5 898	-	-	-
<i>Loans to associates</i>	14	66	74	66	74
Financial assets at fair value through profit or loss	15	8 026	-	-	-
Investments in equity securities	16	62	62	62	62
Investment in associates	17	223	198	223	198
Investment in subsidiaries	18	-	-	68 552	18 084
Contract acquisition costs		1 526	1 567	1 526	1 567
Property, plant and equipment	19	1 531	618	21	28
Intangible assets	20	11 067	4 524	182	2
Goodwill	20	128	-	-	-
Intangible contract assets		1 234	-	-	-
Right of use assets	21	4 438	1 973	27	72
Finished goods, inventories and goods held for sale	22	3 002	68	-	-
Deferred tax assets	23	346	-	-	-
Prepayments	24	1 443	752	44	38
Other assets		2 751	970	1 267	491
Receivables		2 658	461	798	452
<i>Prepaid corporate income tax</i>		4	4	-	4
Other assets		89	505	469	35
TOTAL ASSETS		283 846	48 440	73 903	22 084

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	Notes	31.12.2025	31.12.2024	31.12.2025	31.12.2024
		Group	Group	Company	Company
		EUR'000	EUR'000	EUR'000	EUR'000
EQUITY AND LIABILITIES					
Bonds issued	25	70 865	-	-	-
Loans from credit institutions	26	23 500	-	-	-
Other borrowings	27	28 824	-	-	-
Financial liabilities measured at amortised cost		74 408	32 423	-	-
<i>Customer deposits</i>	28	72 606	32 423	-	-
<i>Subordinated loans</i>	29	1 802	-	-	-
Lease liabilities	21	4 887	2 042	30	77
Trade payables	30	1 707	515	40	21
Taxes and social security contributions payable		2 957	198	50	32
Accrued expenses and other liabilities	30	3 666	1 138	363	424
Total liabilities:		210 814	36 316	483	554
Equity					
Share capital	31	9 997	4 760	9 997	4 761
Share option reserve	31	390	269	390	269
Other reserves					
Share premium		61 888	17 525	61 888	17 525
Accumulated deficit		(10 406)	(5 048)	(1 000)	(1 898)
Profit / (loss) for the reporting period		(7 735)	(5 382)	2 145	873
Total equity attributable to shareholders					
Non-controlling interest	18	18 898	-	-	-
Total equity:		73 032	12 124	73 420	21 530
TOTAL EQUITY AND LIABILITIES		283 846	48 440	73 903	22 084

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Consolidated and Separate Statement of Changes in Equity

Group	Notes	Share capital EUR'000	Share premium EUR'000	Share options EUR'000	Non-controlling interest EUR'000	Accumulated deficit EUR'000	Total EUR'000
31.12.2023		3 795	7 094	379	-	(5 397)	5 871
Share option exercise	5, 30	43	32	(349)	-	349	75
Increase in Share option reserves	5	-	-	239	-	-	239
Increase in Share capital		922	10 399	-	-	-	11 321
Total comprehensive loss for the period		-	-	-	-	(5 382)	(5 382)
31.12.2024		4 760	17 525	269	-	(10 430)	12 124
Share issuance	5, 31	5 218	44 341	-	-	-	49 559
Non-controlling interest in the acquisition transaction	18	-	-	-	18 898	-	18 898
Share option exercise		19	22	(24)	-	24	41
Increase in Share option reserves	5	-	-	145	-	-	145
Total comprehensive loss for the period		-	-	-	-	(7 735)	(7 735)
31.12.2025		9 997	61 888	390	18 898	(18 141)	73 032

Company	Notes	Share capital EUR'000	Share premium EUR'000	Share options EUR'000	Accumulated deficit EUR'000	Total EUR'000
31.12.2023		3 795	7 094	379	(2 246)	9 023
Share option exercise	5, 31	43	32	(349)	349	75
Increase in Share option reserves	5	-	-	239	-	239
Increase in Share capital		922	10 399	-	-	11 321
Total comprehensive profit for the period		-	-	-	873	873
31.12.2024		4 761	17 525	269	(1 024)	21 531
Share option exercise	5, 31	18	22	(24)	24	40
Increase in Share option reserves	5	-	-	145	-	145
Increase in Share capital	31	5 218	44 341	-	-	49 559
Total comprehensive profit for the period		-	-	-	2 145	2 145
31.12.2025		9 997	61 888	390	1 145	73 420

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Consolidated and Separate Statements of Cash Flows

	Notes	Jan – Dec 2025	Jan – Dec 2024	Jan – Dec 2025	Jan – Dec 2024
		Group	Group	Company	Company
		EUR'000	EUR'000	EUR'000	EUR'000
Cash flow from operating activities					
Profit / (Loss) before corporate income tax		(7 727)	(5 373)	1 360	881
Gain on bargain purchase		117	-	-	-
Depreciation of PPE and amortisation of right-of-use and intangible assets	19,20,21	1 935	663	55	50
Amortisation of contract acquisition costs	5	381	314	381	314
Expense Recognition of Share option reserves	31	145	239	145	239
Allowances for expected credit losses		1 146	89	(2)	1
Interest income calculated using the effective interest rate	6	(2 823)	(471)	(41)	(70)
Interest expense	7	1 701	773	302	303
(Decrease)/increase in cash and cash equivalents from operating activities before changes in operating assets and liabilities		(5 125)	(3 766)	2 200	1 718
Increase in receivables, prepayments, and other assets		(16)	858	(776)	(685)
Financial assets measured at amortized cost (including loans)	12	(57 339)	(1 070)	-	-
Increase / (decrease) in accrued liabilities		(394)	488	(504)	215
Increase/ (decrease) in trade payables and other liabilities	30	361	(2 115)	(31)	(129)
Financial liabilities measured at amortized cost including deposits	28	40 183	32 423	-	-
Corporate income tax	9	(8)	(9)	(4)	(7)
Interest received	6	2 823	471	41	70
Interest paid	7	(1 701)	(773)	(302)	(300)
Decrease in cash and cash equivalents from operating activities		(21 216)	26 507	624	882
Cash flow from investing activities					
Intangible asset and PPE purchases	19,20,21	(3 128)	(3 601)	(173)	(12)
Investments in subsidiaries	18	-	-	(13 627)	(12 334)
Investments in associated company share capital	17	(25)	(71)	(25)	(71)
Issued loans	14	-	(24)	-	(24)
Repaid loans	14	-	3	8	707
Net cash inflow from acquisitions	18	14	-	-	-
Decrease in cash and cash equivalents from investing activities		(3 139)	(3 693)	(13 817)	(11 734)
Cash flow from financing activities					
Share capital increase	31	12 410	11 396	12 924	11 396
Subordinated loans	29	1 802	-	-	-
Dividends received		-	-	784	-
Payment of principal of lease liabilities	22,32	(399)	(206)	(47)	(56)
Interest paid on lease liabilities	22	(115)	(64)	(3)	(3)
Increase in cash and cash equivalents from financing activities		13 698	11 126	13 658	11 337
(Decrease)/increase in cash and cash equivalents		(10 657)	33 940	465	485
Cash and cash equivalents at the beginning of the reporting period	10,11	36 647	2 707	1 468	983
Cash and cash equivalents at the end of the reporting period	10,11	25 990	36 647	1 933	1 468

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Notes to the Consolidated and Company's Financial Statements

1. General information

Investment management joint-stock company INDEXO was registered on 10 January 2017. The Company received a license for management of the state-funded pension scheme plans and license for investment management services on 16 May 2017. In 2020 the Company established a subsidiary "INDEXO Atklātais Pensiju Fonds" AS (hereinafter – "APF"), Financial and Capital Market Commission issued license on management of private pension funds on 21 January 2021. On 19 December 2022 the Company established a subsidiary AS INDEXO Banka (till May 2024 AS "IDX1R"), AS with the purpose to receive a banking license to begin bank operations in Latvia, which it successfully achieved May 15th, 2024, and changed its name to AS INDEXO Banka.

IPAS INDEXO manages:

State-funded pension scheme investment plan "INDEXO Jauda 16-55"

State-funded pension scheme investment plan "INDEXO Izaugsme 55-62"

State-funded pension scheme investment plan "INDEXO Konservatīvais 62+"

Indexo Atklātais Pensiju Fonds pension plans, managed by IPAS INDEXO:

Private pension scheme pension plan "INDEXO AKCIJU PLANS"

Private pension scheme pension plan "INDEXO OBLIGACIJU PLANS"

IPAS VAIRO manages:

State-funded pension scheme investment plan "VAIRO 1960-1969"

State-funded pension scheme investment plan "VAIRO 1970-1979"

State-funded pension scheme investment plan "VAIRO 1980-1989"

State-funded pension scheme investment plan "VAIRO 1990+"

Following approvals from the Bank of Latvia, the Bank of Lithuania, and the Competition Council, the voluntary share buyback offer for AS DelfinGroup expressed by IPAS INDEXO took place from 24 November 2025 until 8 December 2025 and was completed on 15 December 2025. As a result, IPAS INDEXO acquired 30 643 883 shares in AS DelfinGroup, representing 67.42% of the total voting share capital of DelfinGroup. On 19 January 2026, following the mandatory share buyback offer for AS DelfinGroup, IPAS INDEXO acquired an additional 1 862 021 shares in AS DelfinGroup, representing 4.10% of the total voting share capital. The total number of AS DelfinGroup shares acquired by IPAS INDEXO amounts to 32 505 904 shares, representing 71.52% of the total voting share capital of AS DelfinGroup.

AS DelfinGroup is a Latvian fintech company holding a consumer lending licence issued by the Consumer Rights Protection Centre, CRPC, established in 2009 and currently operating in Latvia, Lithuania, and Romania. In addition to operating under the DelfinGroup brand, the Company also operates under the Banknote and VIZIA brands. AS DelfinGroup has been profitable every year since 2010 and has been listed on the stock exchange since 2021. In 2020, a dividend distribution policy was approved, providing for regular quarterly dividend payments of 50% of the previous quarter's profit. The Company continuously develops and offers consumer loans, unsecured loans, short term and long-term pawn loans, as well as the retail sale of used, slightly used, and new goods through

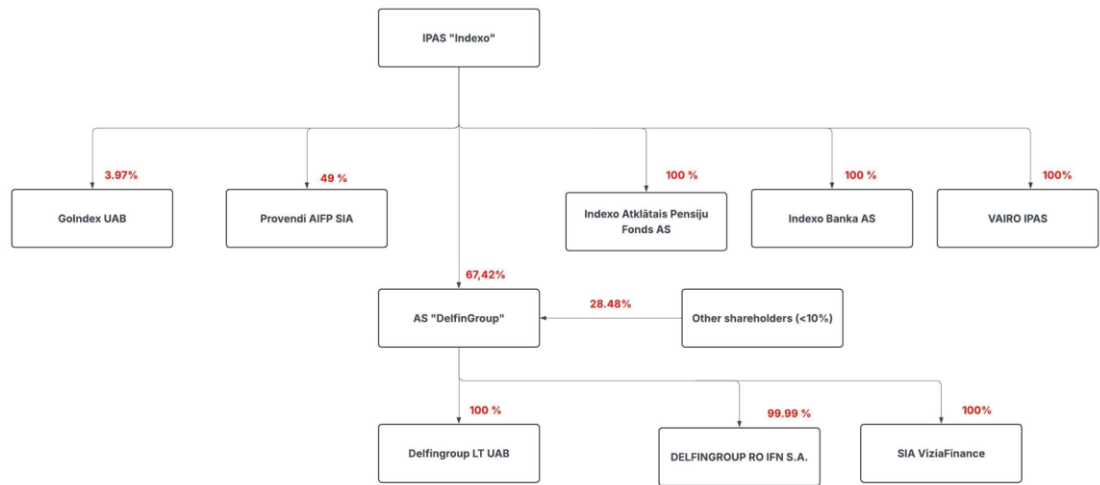
more than 80 branches across Latvia, as well as online.

Following the approval from the Bank of Latvia, on 19 September 2025, IPAS INDEXO acquired IPAS VAIRO ("VAIRO"), obtaining 100% of VAIRO's shares. The total transaction amount was EUR 1.45 million. As a result of the transaction, IPAS VAIRO has been included in the INDEXO Group, and VAIRO's pension pension 2nd pillar plans continue to operate as before. VAIRO is an independent local pension management company that has been offering adaptive 2nd pillar pension plans since 2023. IPAS VAIRO is an investment management company that manages Latvian 2nd pillar pension plans. At the time of acquisition, 13 084 clients had entrusted more than EUR 89 million in pension assets to IPAS VAIRO. The integration of VAIRO into the INDEXO Group represents a positive development for VAIRO's clients and for the Latvian financial sector. As a result of the transaction, INDEXO strengthens a local financial services group that operates in the interests of the Latvian population.

The core idea of INDEXO has always been to transform the stagnant Latvian financial sector, first by introducing low-cost index linked pension investment plans and now by offering refinancing solutions for expensive mortgage loans. The strategic investments made in 2025 will enable INDEXO to build a leading local financial services group that will provide a broad, modern, and cost-efficient range of services to Latvian residents, ranging from pension management to various lending solutions. It is important to emphasize that all companies within the INDEXO Group, including INDEXO pension management, INDEXO Bank, and DelfinGroup's consumer lending operations, are already experiencing strong growth. Each company will continue to implement its own development and growth plans in line with its respective strategy, while the combination of capabilities will create additional synergies in product portfolios, distribution channels, and the financing of further expansion, thereby increasing the value of the newly formed Group for all shareholders.

IPAS INDEXO, INDEXO Banka, INDEXO APF, IPAS VAIRO, AS DelfinGroup, SIA ViziaFinance, UAB DelfinGroup LT, DealShoq SIA and Delfingroup Ro IFN S.A. together form the Group.
IPAS INDEXO, INDEXO APF and IPAS VAIRO are engaged in the management of assets under the state funded pension scheme and the management of assets under private pension schemes on behalf of clients.

The diagram below presents the entities of INDEXO Group.



Data as of 31 December 2025

Basis of preparation

The Group's and the Company's Financial statements are prepared in accordance with the IFRS Accounting Standards as adopted by European Union (IFRS). Having assessed the most significant risks, Management considers the application of the going concern principle in the preparation of these financial statements to be appropriate and concludes that no material uncertainty exists in relation to the application of the going concern assumption. Certain notes have been prepared in accordance with the requirements set out in the regulations issued by the Bank of Latvia. The financial statements of the Group and the Company have been prepared under the historical cost convention, except for investments in equity instruments and pawn loans, which are measured at fair value, see Note 15. The financial year of the Group and the Company coincides with the calendar year.

Functional currency

Items included in the financial statements of each of The Group's and the Company's financial statements are presented measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). Financial statements are presented in the official currency of the Republic of Latvia – the euro ("EUR"), unless stated otherwise.

Financial statements of the Group and the Company have been prepared on a going concern basis. Cash flows from operating activities in the statement of cash flows have been prepared using the indirect method.

The Group and the Company present assets and liabilities in order of liquidity, as Management considers this presentation to be more appropriate given that the services provided by the Group and the Company do not arise within a clearly defined operating cycle.

2. Significant Information on Accounting Policies

This note presents the most significant accounting policies consistently applied by the Group and the Company during 2025 and 2024, as well as newly adopted standards and interpretations.

New standards and interpretations

New standards or amendments that became effective for the first time for the reporting period beginning on 1 January 2025:

- Lack of Exchangeability (Amendments to IAS 21 – The Effects of Changes in Foreign Exchange Rates) The Group and the Company have not had transactions affected by the new standards or their amendments in force, or their accounting policies already comply with the requirements of the new standards.

The following illustrative examples were issued in 2025 and do not have an effective date:

- Illustrative Examples on the Presentation of Uncertainty in Financial Statements

The Group and the Company are currently assessing the impact of these amendments on their financial statements. Based on the initial assessment, the adoption of the new standards and interpretations will not have a material impact on the Bank's financial statements in the period of their initial application.

New standards and interpretations not yet effective

Several new standards or amendments to standards are effective (some of which have not yet been endorsed by the EU) for reporting periods beginning after 1 January 2025, and earlier application is permitted; however, in preparing these financial statements, the Bank has not early adopted the new standards or amended standards and does not intend to adopt them before their effective date.

The Group and the Company are currently assessing the potential impact, if any, of these new standards and interpretations.

Effective Date	New Accounting Standard or Amendments	EU Endorsement
1 January 2026	Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7);	In progress
1 January 2026	Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7)	In progress
1 January 2027	IFRS 18 Presentation and Disclosure in Financial Statements (issued on 9 April 2024)	In progress
1 January 2027	IFRS 19 Subsidiaries without Public Accountability: Disclosures (issued on 9 May 2024)	In progress

The Group and the Company are currently assessing the impact of the amendments on their financial statements. Based on the initial assessment, the adoption of the new standards and interpretations will not have a material impact on the financial statements of the Group and the Company in the period of their initial application.

2.1. Estimates and Judgements

In preparing the financial statements in accordance with IFRS Accounting Standards, the management of the Group and the Company is required to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Estimates and the related assumptions are based on historical experience and various other factors that are considered reasonable under the circumstances and which collectively form the basis for making judgements about the carrying amounts of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Significant Accounting Judgements, Estimates, and Related Assumptions

1. Review of Accounting Estimates

Accounting estimates and the related assumptions are regularly reviewed. Changes in accounting estimates are recognized in the period in which the estimates are revised if the changes affect only that period, or in the period of revision and future periods if the changes affect both the current and subsequent periods.

2. Assessment of Recoverable Amount of Investments in Subsidiaries

In preparing the financial statements, the Company has made significant judgements and estimates regarding the assessment of the recoverable amount of investments in subsidiary capital.

3. Contract Acquisition Costs and Their Amortization

The Group and the Company have made estimates regarding contract acquisition costs and their amortization period. The portion of variable remuneration of employees involved in client acquisition is recognized as a contract cost asset. These costs are amortized over a seven-year period.

4. Share-based Payments

In preparing the financial statements, the Group and the Company have applied significant judgements and estimates in relation to share-based payments.

5. Lease Accounting and Discount Rates

The Group has made judgements and estimates regarding the application of the lease standard requirements. In 2024, annual discount rates of 6.4% and 6.36% were applied to lease payments depending on the specific lease agreement.

6. Amortization of Intangible Assets (Software and Systems)

The Group's business plan envisages the gradual development of new banking products, requiring significant system enhancements. Given the rapid technological developments, particularly in software, the Group and the Company plan to implement intangible assets gradually in stages according to the needs of new processes and products. Based on this assessment, it was decided to amortize the systems over five years, applying an annual amortization rate of 20% for software-related intangible assets.

7. Determination of Significant Increase in Credit Risk

To determine a significant increase in credit risk, the Group evaluates multiple indicators in both automated and manual processes that reflect deterioration in a client's risk profile. Days past due, PD, and changes in the client's creditworthiness relative to the initial assessment are analyzed. If it is determined that the client's credit risk has increased significantly or a specific delinquency threshold is reached, the relevant asset is classified as Stage 2.

8. Loan to an Associate and Expected Credit Losses

The Company has made significant judgements and estimates regarding the loan to an associate. Since the loan is unsecured, a 100% LGD is applied in calculating the expected credit loss. The lifetime PD is determined at 4.19%.

9. SPPI Assessment of Lombard Loans

The SPPI assessment for lombard loans is highly subjective. In determining whether the SPPI criteria are met, primary attention was given to the absence of recourse in the loans, combined with a relatively high risk of default and the loan pricing structure. Given that income from lombard loans in the event of default is closely linked to the sale of collateral, it was concluded that lombard loans do not meet the SPPI criteria and therefore must be measured at fair value through profit or loss. These risk assessment and management procedures are somewhat limited due to the collateral used for the loan.

10. Fair Value of Lombard Loans

Determining the fair value of lombard loans requires judgement in estimating the amount and

timing of future cash flows to determine the fair value of performing lombard loans, and the amount and timing of future cash flows from collateral realization for non-performing loans. Elements of the fair value model for performing loans are determined by the portfolio's effective interest rate and free cash flows. Calculations of the fair value for non-performing loan portfolios depend on the expected timing of collateral realization, its market price, related selling costs, and the applicable discount rate. Fair value model elements and parameters are regularly reviewed and updated as necessary; see Note 32 "Fair Value of Financial Assets and Liabilities."

11. Net Realizable Value of Inventories

The Group's inventory costs may need to be written down to their net realizable value if inventories are damaged, fully or partially obsolete, or if their selling price has declined. Inventory costs may not be recoverable through sale, as completion or estimated selling costs increase. Write-downs to net realizable value are performed individually for each item. Estimates of net realizable value are based on the most reliable evidence available and take into account post-period-end price or cost fluctuations if there is evidence of such conditions at the end of the period.

12. Lease – Estimation of Incremental Borrowing Rate

When the Group cannot readily determine the interest rate implicit in a lease, it uses the incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate that the Group would have to pay to borrow, over a similar term and with similar security, the funds necessary to obtain an asset of similar value to the right-of-use asset in a comparable economic environment. Therefore, the IBR reflects what the Group "would have to pay," which requires estimates when actual rates are not available or need adjustment to reflect the lease terms and conditions. The Group estimates the IBR using observable data (e.g., market interest rates) where available and performs necessary company-specific calculations. The measurement of leases is based on the contract term, and no significant judgements are applied beyond this.

13. Identification of Capitalized IT System Costs

The Company and the Group apply professional judgement to distinguish IT system development and implementation costs that meet capitalization criteria from costs recognized in profit or loss in the period incurred. Only costs directly attributable to the creation/configuration and preparation of the system for use (e.g., development, configuration, integration, testing, significant enhancements) that are reliably identifiable and documented are capitalized. Research, training, routine maintenance/support, and general administrative costs are generally not capitalized and are recognized in profit or loss.

14. Expected credit loss (ECL) measurement

Expected credit loss (ECL) is calculated based on estimates of probability of default (PD), exposure at default (EAD), loss given default (LGD), the timing of loss occurrence, as well as forward-looking macroeconomic scenarios. Small changes in these assumptions, including PD thresholds for determining significant increase in credit risk or the weightings of macroeconomic scenarios, may result in material changes in the level of expected credit loss allowances.

15. Forward-looking macroeconomic information (FLI)

The selection of macroeconomic scenarios and the assessment of their impact on credit risk involve management judgement. The application of different assumptions regarding the development of economic conditions could materially affect the results of ECL calculations.

16. LGD and collateral recoverability

The determination of LGD is subject to uncertainty, as it is based on external data sources and assumptions regarding the amounts and timing of collateral realisation. Changes in these assumptions may materially affect credit loss allowances.

17. Assessment of the Recoverable Amount of Investments in Subsidiaries

Impairment of investments in subsidiaries is calculated with reference to the recoverable amount of the investment. When the recoverable amount is lower than the carrying amount, an impairment loss is recognized. The recoverable amount of INDEXO APF is determined based on the present value of projected future cash flows. The recoverable amount of AS INDEXO Bank (known as "IDX1R" AS until May 2024) is determined based on the present value of projected future cash flows and the Bank's expected future value. See Note 18.

18. Contract Acquisition Costs - Customer Acquisition Expenses

The Group and the Company recognize a contract acquisition cost asset when they expect to recover these costs. Contract acquisition costs are expenses incurred by the Group and the Company in concluding contracts with their clients, which would not have been incurred if the specific contracts had not been concluded (directly attributable costs).

Costs incurred by the Group and the Company regardless of whether a contract is concluded are recognized in profit or loss in the year in which they are incurred, except for costs that can be directly passed on to the Group's and the Company's clients regardless of whether a contract is concluded. Directly attributable costs associated with acquiring a client contract are recognized as an asset in the statement of financial position. If the expected amortization period of the potential contract cost asset is less than one year, the Group and the Company recognize the costs incurred in concluding contracts in profit or loss in the year they are incurred.

The contract cost asset is recognized at its carrying amount, less accumulated amortization and impairment. Accumulated amortization is recognized systematically based on the pattern of services provided under the contract over its expected life, taking into account the expected revenue generation profile.

The Group and the Company recognize the variable remuneration of employees involved in client acquisition as a contract cost asset, amortizing it over a seven-year period. Management considers that the variable remuneration of client acquisition specialists meets the definition of directly attributable costs under IFRS 15 "Revenue from Contracts with Customers," as such costs would not arise without client acquisition and are recoverable.

Capitalized client acquisition costs are recognized in the statement of financial position under "Contract Acquisition Costs," while amortization of these costs is recognized in the statement

of comprehensive income under "Administrative Expenses."

	31.12.2025	31.12.2024	31.12.2025	31.12.2024
	Group	Group	Company	Company
	EUR	EUR	EUR	EUR
Customer acquisition costs	1 526 565	1 566 969	1 526 565	1 566 969
Total	1 526 565	1 566 969	1 526 565	1 566 969

The Group capitalises the variable compensation (including employer's social security contributions) of specialists involved in customer acquisition. The capitalised expenses are amortised over a period of seven years.

According to the data of the State Social Insurance Agency, in the reporting period, on average 15% of participants in the investment plans managed by the Group opted for other investment plans registered in Latvia, while 85% of participants remained in the plans managed by INDEXO. This means that if this indicator remains unchanged in the coming years, a participant of the investment plans managed by the Group will remain a client of INDEXO for about 12-14 years on average. Therefore, the Group believes that the amortisation of the variable compensation of customer acquisition specialists related to customer acquisition over a period of seven years is appropriate.

<i>Customer acquisition costs</i>	EUR	EUR
	Group	Company
31.12.2023.	1 389 048	1 389 048
Capitalised salary costs, including national social insurance mandatory contributions	492 126	492 126
Amortisation of capitalised salary costs, including national social insurance mandatory contributions	(314 205)	(314 205)
31.12.2024.	1 566 969	1 566 969
Capitalised salary costs, including national social insurance mandatory contributions	340 792	340 792
Amortisation of capitalised salary costs, including national social insurance mandatory contributions	(381 196)	(381 196)
31.12.2025.	1 526 565	1 526 565

19. Share-based Payments

The shareholders' meeting of IPAS INDEXO has granted the management and employees of INDEXO the right to purchase the Company's shares. These purchase rights are classified in the Group's and the Company's financial statements as a share-based payment—an equity-settled transaction—in accordance with IFRS 2 requirements. The shareholders of AS DelfinGroup have approved a share option plan for employees and the Group's management, under which rights to acquire AS DelfinGroup shares are granted in accordance with the approved plan terms. When determining the fair value of share purchase rights at the grant date, the management of the Group and the Company considered information on actual direct and indirect transactions in the Company's shares available to them. At the end of each reporting period, the management of the Group and the Company estimates the probability of exercise of share purchase rights by assessing individually the

conditions of the vesting period for management and employees, including continued employment within the Group and the Company, expected performance, and recognizes provisions for expected personnel-related tax payments accordingly. See Note 5.

In determining the grant-date fair value of share-based payments, Group management applied significant professional judgement in evaluating available market data. Since both INDEXO and AS DelfinGroup are publicly listed companies, the share price at the grant date, along with other relevant market data, is used as a key input in determining fair value. The fair value estimate is the main source of estimation uncertainty, as it is sensitive to assumptions regarding the share price, expected volatility, and the risk-free interest rate.

At the end of each reporting period, the management of the Group and the Company makes a significant estimate of the expected grant to be used by individually assessing the probability of exercise of share options. This assessment takes into account factors such as expected operational performance during the vesting period, including tenure within the Group and the Company, performance, and potential forfeiture of grants. Accordingly, the Group and the Company recognize provisions for expected personnel-related tax payments, which depend on the estimated exercise rate of the grant and future tax law.

In accordance with IFRS 1.125 and 1.129, the Group discloses a sensitivity analysis, showing how reasonable changes in key assumptions (e.g., share price volatility or estimated exercise rate of the grant) could materially affect share-based payment expenses. Further details are provided in Note 5.

2.2. Significant Policies

1. Basis of Consolidation

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it has the right to, or receives, variable returns from its investment in that entity and can affect the amount of those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date control is obtained until the date control ceases.

For practical reasons, when the Group acquires control over an entity, a "convenience date" may be used, as permitted under IFRS 3. This means that if the actual date of obtaining control differs from the Group's selected practical date, the Group uses the practical date for consolidation and acquisition accounting, provided that no transactions or events occurred between these dates that would materially affect the financial position or operating results of the acquired entity.

Investments in subsidiaries are recorded in the Company's separate financial statements at acquisition cost, less any impairment losses, if applicable.

Loss of Control

When the Group loses control over a subsidiary, it derecognizes the subsidiary's assets and liabilities, along with any related non-controlling interests and other equity components. Any gain or loss arising is recognized in profit or loss. If the Group retains an interest in the former subsidiary, such interest is